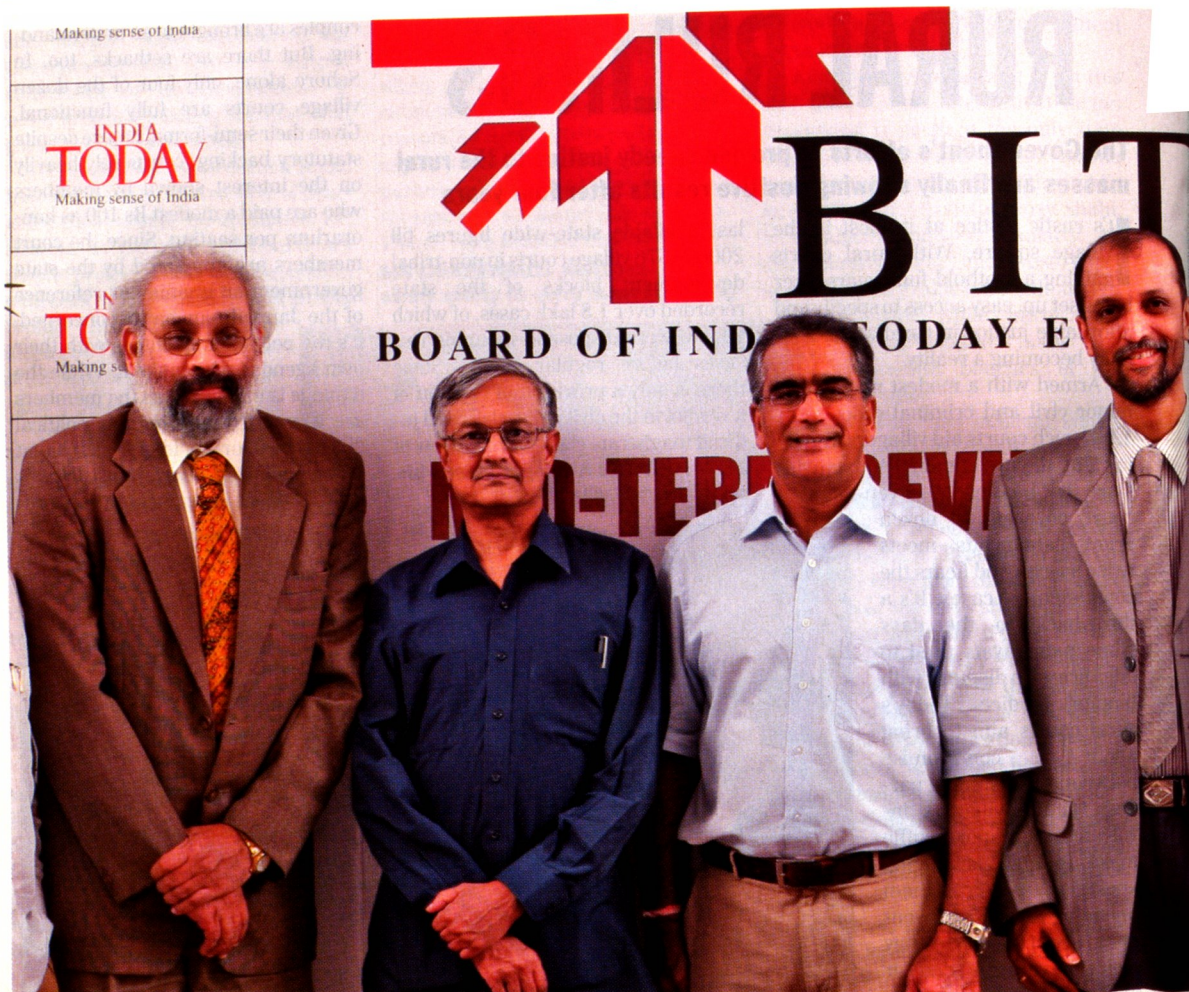




SLOWING DOWN

A lethal cocktail of high interest rates, inadequate reforms and political uncertainty threatens to bust the high growth party. It is time the Government woke up to the unfinished agenda.



You could call it the mid-term blues, but the perception of the economy slowing down has begun worrying mandarins in ministries and CEOs in corporate boardrooms. Of course it is too early to call it a slowdown, but clearly the combination of the Government's inflation management, the bottlenecks in infrastructure, the lack of reforms and political uncertainty have hit growth. For now it is limited to private retail consumption reflected in the dipping sales of durables, automobiles and real estate, but a dip in demand could well impact

investment and output, hurting the nascent boom in job creation. The shadow of demand drop is already visible. Industrial growth is down at 9.6 per cent vis-a-vis 11.1 last year between April and July, core sector growth is down, credit offtake is down at 3.4 per cent compared to 7.2 per cent, and a stronger rupee has not only driven exports lower, but triggered cheaper imports. Making all this murkier are growing fears about a global slowdown, fear of populist profligacy promoted by the spectre of mid-term polls and the possibility of a rag-tag third front coalition coming to power.